

promoters start to believe they can do no wrong.”

The part on maturity does make a difference, with most founders being relatively young. Saurabh Tandon, Co-founder and COO of BetterPlace, a technology platform for blue-collar workforce management, speaks of how he and his partner had worked for a decade and a half across continents before they decided to turn entrepreneurs. “We constituted our board at a pre-revenue ideation stage, and within the first six months, brought in independent directors with great business backgrounds. Besides, the support functions were in place early on with a focus on compliances, financial controls and filings,” he says, adding that once the company scaled up, execution was done well from a corporate governance perspective. On the role of investors, he is clear that while they need to deliver a certain IRR to their LPs as that increases the ability to raise their next fund, “they need to closely monitor their portfolio investments from a corporate governance perspective

adds Ganesh, is not mandatory for start-ups today.

To be fair, the cases of BharatPe, Trelle and Zilingo (all Sequoia investee entities) are still a minuscule part of the universe but not without a big learning. Ganesh maintains that start-ups cannot look at themselves as a fledgeling industry anymore. “It is a big sector and failure affects a lot of people, be it customers, vendors, suppliers or the full ecosystem. When the entity crosses a certain size or scale, the implications have to be understood clearly.”

Deena Jacob, Co-founder and CFO at Open, a fintech start-up offering neobanking services for SMEs, says investors must understand the complexity as well as the potential of the sector. “That means being patient and realising that there is no place for 5x or 10x growth each year. Ideally, promoters must ask why an investor is coming in as that helps in working towards a common goal.”

While the reasons for corporate governance lapses are many, the fear of missing out on an investment stands out. Often, that leads to a frenzy. Damani, however,

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as any lapse impacts their reputation.”

Ashish Kumar, General Partner at The Fundamentum Partnership, an India-based Series B/C focussed VC fund, points to the commitment on irrational growth rates as the challenge. “When that does not happen, you start burning cash, and become less capital-efficient. That is when it spirals out of control, and the companies start having temptations towards incorrect behaviour,” he says, calling the phenomenon “self-induced growth pressure.” Great companies are built in 7-10 years, he says, and “to be fair, 99.99 per cent of promoters are genuine”.

COURSE CORRECTION TIME

Serial entrepreneur K. Ganesh, Promoter of bigbasket, Portea Medical, HomeLane and BlueStone, says the past five years have been unprecedented in terms of the number of start-ups, funding, valuation and the emergence of a host of unicorns. The maturity needs to step in early. “Once professional investors come in, there should be a focus on corporate governance. For instance, the auditor should be from one of the Big Four apart from having independent directors on the board,” he says. The latter,

speaks of around 150 deals coming to him every month. “Of all the leads we receive, we convert simply one per cent of them. We usually take up leads that come through references, instead of ones that come from cold leads.”

He swears by the rule of patience. Citing the case of an investment made in 2013 in Purple—a beauty products e-commerce start-up—on which his fund is sitting on “a giga-return”, his view is “you have to let the founders be, and only look for ways to help them build a strong foundation and that will set the stage for exponential growth”. The sweetest returns, he adds, start in year nine and 10.

Without a doubt, corporate governance is a systemic issue driven by numerous reasons. It is left to the promoters and investors to ensure that the line is not crossed. Fundamentum’s Kumar says that we are in the “teenage phase” of the story, and this learning exercise could last for at least a couple of years. To Ganesh, it is an opportunity. “Now, we can put good systems in place,” he says. Hopefully, that will take place with start-ups doing nothing but creating good businesses for the long haul. **BT**

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